Africa's mobile-money frontier: where should a Kenyan operator expand next?

Question. A hypothetical Kenya-based mobile-money operator has 87.5% of Kenyan adults already using mobile money. Which sub-Saharan markets should it enter by 2030, in what order, and what would have to be true?

Answer. Enter **Tanzania** first. Hold **DR Congo** as a gated option and take a diligence view on **Côte d'Ivoire** before committing a second market. Do not commit to two markets up front.

What the analysis shows

1. **The home market is close to full.** Kenya is at 87%; Tanzania, Côte d'Ivoire and Uganda are at 53%, 53% and 68%. Of 34 markets with 2024 data, 25 pass a size screen.
2. **Tanzania ranks first** on a two-axis score (attractiveness 54, ease 79, priority 66/100), with a 2030 revenue pool of $673m and no fragility flag. It is in the top two in 49% of 5,000 random weightings. DR Congo (40%) is next; beyond the top two the ranking is not stable.
3. **Size alone misleads.** Nigeria has the largest pool ($1,321m) but ranks 20 of 25: it is conflict-affected on the World Bank list, bank-led, and revenue per user is 40% below Kenya's even after adjustment (Airtel Money Nigeria discloses about $3). Ethiopia ranks 23.
4. **The business case is thin.** Tanzania's Base NPV is $13.5m (Low −$102m, High $194m), peak funding $56m, payback 2035. DR Congo is $2.2m; Côte d'Ivoire −$10.3m; Uganda −$29.9m.
5. **What you need to believe.** Tanzania breaks even if the operator wins 13.6% of new users against 15% assumed. Côte d'Ivoire needs 16.7% and Uganda 20.2%.
6. **Fundamentals do not predict winners.** A model using income, urbanisation, phones, electricity and remittances misses 2024 adoption by 25.5 points on held-out countries, worse than a benchmark that ignores them (21.0). Kenya sits about 50 points above what fundamentals imply. Ecosystem, regulation and execution decide, hence a diligence gate.

Recommendation

- **Gate 0 (2026):** diligence on Tanzania's licence and partner route and agent economics; screen DR Congo and Côte d'Ivoire. Go if the entry route fits the $26m launch budget.
- **2027:** launch Tanzania. Base plan 0.15m users in year one, reaching 2.3m by 2030 and $45m revenue.
- **Gate 1 (end-2028):** continue only if users are within 20% of the Base plan and the share of new users is tracking towards 14% or better.
- **2029 to 2030:** choose DR Congo or Côte d'Ivoire on diligence evidence, preferably through a partnership.

Confidence and limits

Revenue per user is calibrated on two company disclosures reported in the press; operator share, margin, fixed cost and launch spend are analyst assumptions, each tested in the sensitivity and break-even analysis. Governance indicators (WGI) were not available, so institutional stability uses the World Bank fragility list. Rwanda, Burundi, Somalia and South Sudan have no 2024 data. The business case is an entry screen, not a valuation. The back-test showed the adoption forecast ran 2.8 points high, which is why the Low scenario matters.

Every figure comes from `model/africa_mobile_money_model.xlsx` (23 of 23 integrity checks pass against an independent Python implementation). Method and sources: `docs/methods_appendix.md`.